CASCADIA ANALYTICS

Tyler Technologies, Inc.

Equity Research Note | TYL | October 30, 2026

The Market Prices a Slowdown Tyler Has Not Shown

Analyst: Justin Wen | October 30, 2026

We initiate coverage of Tyler Technologies with a Buy rating. Tyler is the largest software company in the United States focused solely on the public sector, with recurring revenue at 87.8 percent of the total and annual recurring revenue of $2.28 billion growing 11.0 percent. The shares closed Thursday October 29, 2026 at $373.93, a price that on our model implies revenue growth of 6.25 percent a year for five years, below even our Bear case growth path and below every growth rate Tyler has reported in the last three years. Our Base target is $422.79, our Bull target is $481.32 and our Bear target is $328.26, against that reference price. Our blended target is $413.79, which is 10.7 percent above the reference price.

BUY	$413.79	+10.7%	$373.93
Buy	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE
INVESTMENT RATING			

The debate on Tyler is not whether the business is good. It is what growth rate the price already assumes. At $373.93 the market pays for five years of 6.25 percent revenue growth on our Base margin path. Tyler grew revenue 9.5 percent in fiscal 2024, 9.1 percent in fiscal 2025 and 8.5 percent in the first nine months of 2026, and its recurring base, which is 87.8 percent of revenue, is compounding at 11.0 percent. A price that assumes the slowest growth in the company's recent history, from a business whose contracted and recurring base is its fastest growing part, is a price we are willing to buy.

Executive summary

Tyler Technologies sells software and transaction services to state and local governments, courts, schools and public safety agencies across the United States. The products are systems of record: property appraisal and tax, courts and justice, public safety, enterprise resource planning, and payments. Once a county or a court runs on Tyler, the cost and the public risk of switching are high, and the filing shows what that means in numbers. Subscription and maintenance revenue together were $568.841 million of the $647.566 million of third quarter 2026 revenue, or 87.8 percent, and that recurring share has held between 86 and 89 percent across the filed record. Annual recurring revenue reached $2.28 billion at September 30, 2026, up 11.0 percent from a year earlier.

The third quarter, reported on October 28, 2026, was a clean print on the measures that matter. Total revenue grew 8.7 percent to $647.566 million. Software as a service revenue grew 21.2 percent to $242.2 million as the installed base converts from on-premise licenses to cloud subscriptions, and transaction-based revenue grew 9.5 percent to $220.4 million even with a payments wind-down in Texas working against it. GAAP operating income was $117.037 million, an 18.07 percent margin, against 15.34 percent for fiscal 2025. Non-GAAP operating income was $182.1 million, a 28.12 percent margin, up about 150 basis points from a year earlier. GAAP net income was $95.074 million, or $2.33 a diluted share. Operating cash flow was $282.5 million and free cash flow on the company's definition was $277.0 million in the quarter.

Management guided fiscal 2026 revenue to $2,535 million to $2,565 million, non-GAAP diluted earnings to $12.95 to $13.20 a share, and free cash flow margin to 26 to 28 percent on the company's definition, which adds stock-based compensation back. Our model is built on GAAP margins, which carry stock-based compensation and acquisition amortization as costs, so our free cash flow margins run below the guided figures for a definitional reason we explain in the valuation framework section. Reported revenue for the first nine months of 2026 was $1,906.165 million, so the guide implies fourth quarter revenue of $628.8 million to $658.8 million.

The balance sheet is simple and strong. At September 30, 2026 Tyler held cash and short-term investments of $879.394 million against a single debt instrument, convertible senior notes due 2031 with a carrying value of $1,410.110 million, for bridge net debt of $530.716 million. The older convertible notes due 2026 were repaid in full during the first nine months of 2026. Tyler is also returning capital at a pace that matters for the share count: it repurchased 1,148,389 shares in the third quarter for about $379 million, roughly 8.5 percent of the share base year to date, with $1.37 billion of authorization remaining. Our model divides by the current diluted count of 40,731,000 shares and deducts no repurchase cash anywhere, so that buyback is not credited twice.

Our valuation covers fiscal 2027 through fiscal 2031, anchored on fiscal 2026 revenue at the guidance midpoint of $2,550 million. The Base case compounds revenue at 8.90 percent to

$3,905.2 million in fiscal 2031 and expands the GAAP operating margin from 18.0 percent to 22.0 percent, which at today's add-back rates is roughly the non-GAAP margin Tyler already prints, held flat. The Bull case compounds at 10.40 percent with margins to 24.0 percent. The Bear case compounds at 6.50 percent with margins reaching only 18.0 percent. At the reference price the market implies 6.25 percent growth, below the Bear path's rate, which is the whole thesis in one comparison.

$2,482.3M	87.8%	$2.28B	18.07%	+21.2%	$530.7M
TTM REVENUE	RECURRING SHARE OF Q3 REVENUE	ARR, +11.0% YOY	Q3 GAAP OPERATING MARGIN	Q3 SAAS REVENUE GROWTH	BRIDGE NET DEBT

Trailing revenue covers the four quarters from the fourth quarter of 2025 through the third quarter of 2026, computed from the Form 10-Q for the period ended September 30, 2026 and the fiscal 2025 Form 10-K. Quarterly figures are from the third quarter 2026 earnings release dated October 28, 2026. Bridge net debt is convertible notes due 2031 less cash and short-term investments at September 30, 2026.

The bull case

Our Bull case assumes the conversion wave sustains itself. Revenue grows 11.0 percent in fiscal 2027 and 2028, then 10.5 percent, 10.0 percent and 9.5 percent, for a compound rate of 10.40 percent and fiscal 2031 revenue of $4,206.3 million. GAAP operating margins rise from 19.0 percent to 24.0 percent. That path is aggressive against total revenue history and modest against the mix inside it: software as a service revenue grew 21.2 percent in the third quarter, annual recurring revenue grew 11.0 percent, and total revenue growth is held down by the shrinking on-premise license and maintenance tail and by lumpy transaction volumes. If conversion keeps pulling the mix toward subscriptions at the filed rate, total growth converges toward the recurring growth rate rather than away from it, and Bull is the scenario where that convergence happens on schedule.

The Bull target of $481.32, which is 28.7 percent above the reference price, uses the same discount rate structure as every other scenario. We did not lower the discount rate for Bull and we did not raise terminal growth above the house cap of 3.0 percent. What has to go right is observable: recurring revenue growth must hold near 11.0 percent, the software as a service line must keep compounding above 20 percent while it is still the smaller half of subscriptions, and GAAP margins must keep closing the gap toward the non-GAAP level as stock-based compensation and amortization shrink as shares of a larger revenue base. Management's comment on the third quarter call that about 300 deals containing artificial intelligence products have been sold to date is supporting color for demand, not an input to the model, and we treat it that way.

The bear case

Our Bear case is a slowdown case, not a breakage case, and it is worth $328.26, which is 12.2 percent below the reference price. Revenue grows 7.5 percent in fiscal 2027, then 7.0 percent, 6.5 percent, 6.0 percent and 5.5 percent, for a compound rate of 6.50 percent and fiscal 2031 revenue of $3,472.8 million. GAAP operating margins reach only 18.0 percent by fiscal 2031, roughly the third quarter 2026 level held flat. That path assumes state and local budgets tighten, transaction volumes soften beyond the Texas payments wind-down already visible in the third quarter, and the margin expansion from mix shift stalls. Revenue still grows every year, the recurring base still compounds, and no contract loss or financing stress is assumed.

Bear matters because the reference price sits close to it. The market at $373.93 pays only 13.9 percent more than our Bear value for a company whose recurring revenue is 87.8 percent of the total, and the reverse analysis in this note shows the market growth assumption of 6.25 percent is lower than the Bear path's 6.50 percent. An investor who believes growth fades to the Bear path should not own the shares, and we say so plainly. Our judgment is that the filed record argues against that fade: recurring growth of 11.0 percent, software as a service growth of 21.2 percent, and a deferred revenue balance of $864.255 million collected from clients ahead of delivery all describe a business whose forward revenue is more contracted than the price implies.

Verdict

> **Buy.** Our Base target of $422.79 is 13.1 percent above the $373.93 reference price, which clears the house Buy band of 10 percent upside to Base. Our blended target is $413.79.

The rating follows the house rule chain in order. Upside to the Base target is 13.1 percent, which is above the 10 percent threshold for a Buy and inside no Hold band. Strong Buy requires upside above 50 percent with accelerating momentum and expanding gross margin and revenue across the last two quarters, and 13.1 percent upside does not meet that test on its first condition alone. A Sell requires a deteriorating business, and Tyler's business is improving on the filed record, with recurring share rising, software as a service compounding at 21.2 percent and GAAP operating margin expanding from 15.34 percent in fiscal 2025 to 18.07 percent in the third quarter. Hold with valuation concerns applies to an overvalued healthy business, and our Base case says the shares are undervalued, not overvalued. Buy is the only verdict the rules produce.

We are clear about what the Buy rests on, because it does not rest on our Base case being heroic. It rests on the market pricing 6.25 percent growth, a rate Tyler has not printed in any recent year and a rate below our Bear case, while the recurring engine that drives the growth is compounding at 11.0 percent. If reported growth fades toward 6 percent, the Bear value of $328.26 governs and the Buy is wrong. If growth merely tracks the low end of the recent range,

Base and Bull values of $422.79 and $481.32 govern. That asymmetry, a priced-in slowdown against a contracted recurring base, is the investment case.

Key themes

The table below carries the themes we track for Tyler, with a trend status for each that follows from the filed record rather than from our scenarios.

THEME	TREND STATUS	EVIDENCE IN THE FILED RECORD
Recurring revenue mix	Rising	Recurring revenue 87.8 percent of third quarter revenue, subscriptions and maintenance both growing
Cloud conversion	Accelerating	Software as a service revenue up 21.2 percent in the third quarter to $242.2 million
ARR compounding	Steady double digit	ARR $2.28 billion at September 30, 2026, up 11.0 percent year over year
GAAP margin expansion	Improving	GAAP operating margin 15.34 percent in fiscal 2025, 16.36 percent for nine months of 2026, 18.07 percent in the third quarter
Transaction volumes	Mixed	Transaction revenue up 9.5 percent in the third quarter with a Texas payments wind-down against it
Capital return	Large and active	1,148,389 shares repurchased in the third quarter for about $379 million, $1.37 billion authorized remaining
Valuation against the model	Below Base and Bull	Reference price $373.93 against Base $422.79 and Bull $481.32, above Bear $328.26

Two of those themes deserve emphasis. The first is the funding structure hidden in the balance sheet. Tyler collects subscription payments before it delivers the service, so deferred revenue of $864.255 million finances the business and operating working capital is negative $464.692 million at September 30, 2026. Growth therefore releases cash rather than absorbing it, at a filed rate of 14.3 percent of the revenue change in fiscal 2025 and 17.7 percent in the first nine months of 2026. Our model uses 15.0 percent, inside that filed range, and the sensitivity work in this note shows the assumption is worth about $11.50 of the Base target, real money but not the thesis.

The second theme is the gap between GAAP and non-GAAP profitability, because it decides how our margins should be read. Third quarter non-GAAP operating margin was 28.12 percent against a GAAP margin of 18.07 percent. The difference is mostly stock-based compensation, which ran at 6.30 percent of revenue in the first nine months of 2026, and intangible

amortization at about 4.7 percent of third quarter revenue. We model GAAP margins because shareholders bear both costs, and that choice makes our Base terminal margin of 22.0 percent a different statement than it first appears: it is roughly the non-GAAP margin Tyler already earns, held flat, with GAAP converging toward it as the two add-backs shrink as revenue shares. Readers who compare our 22.0 percent against the company's 28.12 percent without that bridge will misread the case as assuming margin heroics. It assumes margin persistence on the company's own measure.

Valuation

Three scenarios make the valuation range explicit

The table below states each scenario on the same basis, with the same discount rate structure, the same terminal growth rate of 3.0 percent and a fiscal 2026 anchor set by guidance, so the differences across rows reflect operating assumptions only. Scenario fiscal 2026 anchors differ by design under the house guidance rule: Bear anchors at the guide low of $2,535 million, Base at the midpoint of $2,550 million and Bull at the guide high of $2,565 million.

SCENARIO	WEIGHT	REVENUE CAGR	FY2031 REVENUE	TARGET	UPSIDE
Bear	25%	6.50%	$3,472.8M	$328.26	-12.2%
Base	50%	8.90%	$3,905.2M	$422.79	+13.1%
Bull	25%	10.40%	$4,206.3M	$481.32	+28.7%
Blended	100%			$413.79	+10.7%

Base is the path we consider most likely. Revenue grows 9.5 percent in fiscal 2027 and 2028, then 9.0 percent, 8.5 percent and 8.0 percent, which is the recent reported range fading gradually rather than a continuation of any single quarter. GAAP operating margins expand from 18.0 percent to 22.0 percent in one point annual steps. Base unlevered free cash flow across the forecast is $556.0 million, $632.3 million, $712.8 million, $799.0 million and $890.4 million, an average free cash flow margin of 21.38 percent of revenue, rising from 19.91 percent to 22.80 percent. That margin sits below the company's guided free cash flow margin of 26 to 28 percent for fiscal 2026 because the company's definition adds stock-based compensation back and ours does not, and we regard the difference as a definitional gap of about six points, roughly the stock-based compensation share of revenue, rather than as a disagreement about cash generation.

At the reference price of $373.93, market capitalization is $15,230.5 million on the diluted count of 40,731,000 shares, and enterprise value is $15,761.3 million on bridge net debt of $530.716 million. The shares have traded between $270.71 and $513.32 over the last 52 weeks, so the reference price sits in the lower half of the year's range after a long de-rating of public sector

software multiples, while the business measures in this note have continued to improve through that de-rating. Trailing multiples at the reference price are 46.7 times earnings, 6.24 times sales and 21.5 times free cash flow per share, with a forward earnings multiple of 28.6 times, all on Finnhub trailing data at October 30, 2026.

Valuation framework

Our discount rate is live rather than fixed, and it falls over the forecast as the company matures in our assumptions. The table below states the beta and the discount rate for each forecast year on the audit legs, with a 10 year Treasury yield of 4.989 percent and an implied equity risk premium of 3.697 percent at the audited read-back, when the S and P 500 stood at 7,720.39. Those legs move with the market, so our targets move with them, and the live target notice at the end of this note governs how readers should use the figures.

FORECAST YEAR	BETA	DISCOUNT RATE
FY2027	0.786	7.28%
FY2028	0.773	7.24%
FY2029	0.760	7.19%
FY2030	0.746	7.15%
FY2031	0.733	7.10%

Beta starts at 0.786, the Finnhub figure retrieved on October 30, 2026, and decays linearly toward 0.733, the Finnhub beta of Roper Technologies, the mature vertical market software compounder in Tyler's peer set. Peer betas frame the choice: Guidewire at 1.030 and Workday at 1.032 are mid-transition businesses whose betas would overstate the risk of a mature Tyler, while Roper shows what a scaled, diversified vertical software compounder's beta converges to. The pre-tax cost of debt is 0.89 percent, the filed effective interest rate on the convertible notes due 2031, and the cash tax rate is 23.0 percent, the company's stated non-GAAP rate, corroborated by a nine month GAAP effective rate of 22.53 percent. Capital weights are 91.53 percent equity and 8.47 percent debt at market values. Terminal growth is 3.0 percent in every scenario, the house cap, and terminal value is struck at the terminal year discount rate on a normalized fiscal 2032 year, described in the disclosures section.

Bridge ratios are stated here so readers can see exactly what the forecast assumes. Depreciation and amortization are 5.6 percent of revenue in Base, 5.9 percent in Bear and 5.3 percent in Bull, continuing the filed decline from 7.89 percent in fiscal 2023 to 5.93 percent in fiscal 2025 as revenue scales. Capital expenditure is 0.85 percent of revenue in every scenario, against a filed nine month rate of 0.83 percent and fiscal 2026 guidance of $20 million to $22 million. Working capital is negative 15.0 percent of each revenue change in every scenario,

inside the filed range of 14.3 percent to 17.7 percent. Stock-based compensation is expensed inside GAAP operating margin in every scenario and added back nowhere.

One cross-check sits outside the model and moves no target. Tyler's competitive position, on the evidence in the filing, is wide: systems of record in courts, public safety, appraisal and tax and payments, an installed base the company describes as more than 50,000 installations across 16,000 client locations, recurring revenue at 87.8 percent and rising, and $864.255 million of deferred revenue collected ahead of delivery. On our framework that position supports a moat premium cross-check of about 10 percent against the Base target, which would indicate about $465 a share. We show that figure only as a cross-check on the plausibility of the Base value. It is not netted into any target in this note, per the house rule that moat adjustments are presented for judgment and never back-solved into the discounted cash flow.

Audit disclosures and sensitivities

This section carries every disclosure our forensic audit required before this note could be written. Readers who want only the rating and the targets can stop at the verdict section. Readers who want to test our targets should start here, because this section states where the model is most fragile and by how much each fragile assumption moves value.

Terminal value concentration

Terminal value is 83.8 percent of Base enterprise value, 82.8 percent in Bear and 84.1 percent in Bull, above the 70 to 75 percent band our house audit flags. That concentration is the arithmetic of a durable compounder valued at a live equity risk premium of 3.697 percent, and it means the targets are terminal judgments disciplined by a five year forecast rather than forecast outputs with a small terminal addition. We state the sensitivities plainly. A discount rate 100 basis points lower across the forecast and the terminal lifts Base to $565.65, and 100 basis points higher cuts Base to $335.94. Terminal growth of 2.5 percent cuts Base to $380.49, and 2.0 percent cuts it to $346.47. The 3.0 percent terminal growth rate is the house cap, and at 3.5 percent, a rate we do not use, Base would be $476.82. Even the harshest single sensitivity in this paragraph leaves the growth debate intact, because the market growth assumption of 6.25 percent is a separate and lower hurdle than any of these value outcomes.

BASE SENSITIVITY	CHANGED ASSUMPTION	BASE TARGET
Model Base	As built	$422.79
Discount rate down 100 basis points	All years and terminal	$565.65
Discount rate up 100 basis points	All years and terminal	$335.94
Terminal growth 2.0%	2.0%	$346.47
Terminal growth 2.5%	2.5%	$380.49
Terminal margin at fiscal 2025 GAAP level	15.34%	$335.60
Terminal capex set to total D and A	5.6% of normalized revenue	$353.08
Beta flat, no decay	0.786 throughout	$405.92
Beta at the Yahoo figure, flat	0.849 throughout	$385.69
Working capital at zero	No release	$411.31
Fiscal 2026 anchor at guide low	$2,535M	$420.22
Fiscal 2026 anchor at guide high	$2,565M	$425.35

The terminal margin judgment

The largest single judgment in the model is the Base terminal GAAP operating margin of 22.0 percent against 15.34 percent filed in fiscal 2025. Held at the fiscal 2025 level, the Base target falls to $335.60, below the reference price, so readers should understand exactly what the 22.0 percent assumes. It assumes the GAAP margin keeps converging toward the non-GAAP margin Tyler already earns. The bridge is arithmetic: third quarter GAAP margin of 18.07 percent plus stock-based compensation of about 6.3 percent of revenue plus intangible amortization of about 4.7 percent of revenue reconciles to the printed non-GAAP margin of 28.12 percent, with the small remainder in other adjustments. If stock-based compensation and amortization shrink as shares of revenue while the underlying non-GAAP margin holds near 28 percent, a GAAP margin of 22.0 percent by fiscal 2031 is where the two measures meet. The assumption can fail in two ways, if the non-GAAP margin itself compresses or if the add-backs do not shrink, and either failure moves value toward the $335.60 sensitivity rather than toward our Base.

Margin dissonance back-out

Our audit backs out the operating expense path implied by the margin assumptions, because a model whose gross and operating margins move in opposite directions hides an expense story. Tyler's filed operating expense ratio, gross margin less operating margin, has ranged between 29.8 and 32.9 percent over the last four reported years with no trend: 32.92 percent of revenue

in fiscal 2023, 29.76 percent in fiscal 2024, 31.13 percent in fiscal 2025, 32.00 percent for the first nine months of 2026 and 31.07 percent in the third quarter. Holding that ratio near its four year average of about 31.2 percent, our Base terminal operating margin of 22.0 percent implies a gross margin of about 53.2 percent, against 49.14 percent in the third quarter of 2026 and 46.46 percent in fiscal 2025. At the lowest filed expense ratio of 29.76 percent the implied gross margin would be 51.8 percent, and at the highest of 32.92 percent it would be 54.9 percent. The model's margin expansion is therefore a gross margin story, not an expense story: it requires the mix shift toward software as a service, growing at 21.2 percent against total growth of 8.7 percent, to lift gross margin by about four points over five years while the expense ratio stays where it has always been. There is no hidden operating expense cut in this model, and equally there is no expense leverage assumed if the mix shift disappoints.

Terminal reinvestment

Our normalized terminal year sets capital expenditure at 1.5 percent of normalized revenue, which is below total depreciation and amortization of 5.6 percent in Base, and our audit requires that gap to be explained rather than buried. The filed decomposition explains it. Fiscal 2025 depreciation and amortization of $138.358 million consists of property and equipment depreciation of $18.9 million, which is 0.81 percent of revenue, intangible amortization of $94.2 million, and capitalized and acquired software amortization of about $25 million. The amortization bulk arises from acquisitions and capitalized software and requires no replacement capital expenditure, because the underlying product investment is expensed through research and development and operating costs already inside operating margin. Our terminal capital expenditure of 1.5 percent sits above the property and equipment depreciation component plus the capitalized software run rate, and below total depreciation and amortization. Forcing terminal capital expenditure to equal total depreciation and amortization would cut the Base target to $353.08, and we show that figure in the sensitivity table so the size of the judgment is on the page.

Macro scale check

Our audit states the terminal year against the size of the market so readers can judge whether the model quietly assumes an implausible share. Gartner's forecast for government and education enterprise information technology spending, published in November 2025 in its third quarter 2025 update, puts the global market at $861.4 billion in 2026, rising at a 7.4 percent compound rate to more than $1.1 trillion by 2029. Our Base fiscal 2031 revenue of $3,905.2 million is about 0.3 percent of that market on Gartner's trajectory, and the normalized fiscal 2032 revenue of $4,022.4 million is a similar share. Tyler's actual niche, United States public sector software, is a subset of that spending pool, so its share of the niche is higher than 0.3 percent, but the aggregate check shows the terminal year requires no heroic share assumption: Tyler would remain a small fraction of government technology spending even in our Bull case. We print the implied share as a disclosure. We do not use it as a cap or a calibration input.

Reverse discounted cash flow

The reverse analysis asks what growth the reference price already assumes, holding our Base margins, bridge ratios and discount rate structure fixed. At $373.93 the market implies a uniform revenue growth rate of 6.25 percent a year from the fiscal 2026 anchor, reaching fiscal 2031 revenue of about $3,453.4 million. That implied rate is below the Bear case growth rate of 6.50 percent and below every reported growth rate in the recent filed record: 9.5 percent in fiscal 2024, 9.1 percent in fiscal 2025, 8.7 percent in the third quarter of 2026 and 8.5 percent for the first nine months of 2026. It is also far below the 11.0 percent growth of the recurring revenue base that makes up 87.8 percent of the total. One condition qualifies the result: the solve holds Base margins, so if the market is also pricing margin disappointment toward the Bear path, the implied growth rate would be somewhat higher than 6.25 percent. We state that condition rather than presenting the solve as a fact about the market alone. On any reading, the price assumes a slower and weaker Tyler than the filing describes.

Methodology notes

We discount cash flows at each year end rather than at midyear, the conservative convention. Our bridge excludes operating lease liabilities of $45.193 million from debt under the house definition; including them would cut every target by $1.11, giving a Base of $421.68 on all-in net debt of $575.909 million. Our bridge cash excludes non-current investments of $25.289 million under the house definition, which counts cash and current marketable securities only. Our share divisor is the third quarter diluted weighted average of 40,731,000, the current diluted count; the cover count of 39,759,524 at October 26, 2026 is lower because it excludes in-the-money dilutive securities, and using it would raise targets mechanically without changing any economics, so we do not use it. Our fiscal 2026 anchor is guidance rather than reported revenue, and the sensitivity across the guidance range is about $2.60 either way on Base. Our targets are stated as of the audited read-back on October 30, 2026, with a 10 year yield of 4.989 percent, an implied equity risk premium of 3.697 percent and the S and P 500 at 7,720.39, against a reference price frozen at the Thursday October 29, 2026 close of $373.93.

Other key performance indicators

The tables below collect the filed figures that anchor this note, so readers can check our narrative against the record without returning to the filing.

TYLER MEASURE	Q3 2026	NINE MONTHS 2026	FISCAL 2025
Total revenue	$647.566M	$1,906.165M	$2,332.340M
Subscriptions revenue	$462.602M	$1,356.779M	$1,634.445M
Maintenance revenue	$106.239M	$318.725M	$419.824M
Recurring revenue	$568.841M	$1,675.504M	$2,054.269M
Professional services revenue	$62.968M	$185.948M	$221.462M
Gross profit	$318.209M	$921.700M	$1,083.700M
GAAP operating income	$117.037M	$311.944M	$357.700M
GAAP net income	$95.074M	$269.766M	$315.603M
Gross margin	49.14%	48.36%	46.46%
GAAP operating margin	18.07%	16.36%	15.34%

BALANCE SHEET AT SEPTEMBER 30, 2026	VALUE
Cash and cash equivalents	$788.222M
Short-term investments	$91.172M
Bridge cash, house definition	$879.394M
Non-current investments, excluded from bridge	$25.289M
Convertible senior notes due 2031, net	$1,410.110M
Convertible notes due 2026	Repaid in full in 2026
Bridge net debt	$530.716M
Operating lease liabilities, excluded from bridge	$45.193M
All-in net debt, including operating leases	$575.909M
Deferred revenue, current and long term	$864.255M
Diluted weighted shares, third quarter, model divisor	40,731,000
Shares outstanding, cover at October 26, 2026	39,759,524

The peer table below puts Tyler's filed economics against the three names we use for context, on trailing data at October 30, 2026. Roper Technologies is what Tyler's model converges

toward: a mature vertical software compounder with a GAAP operating margin of 28.05 percent and a trailing earnings multiple of 16.9 times. Guidewire, mid cloud transition in insurance software, grows faster at 22.70 percent with a GAAP operating margin of 10.16 percent and the richest multiples in the set. Workday grows 13.35 percent with a GAAP operating margin of 10.67 percent. Tyler grows slowest of the four on a trailing basis at 8.19 percent, with a GAAP operating margin of 15.14 percent, and trades between Roper and Guidewire on sales. The comparison supports our margin framework: Tyler's GAAP margin has room to converge toward Roper's level over time, and no peer evidence supports assuming it gets there quickly.

Peer trailing data	Revenue growth	GAAP operating margin	P/E	P/S
Tyler Technologies	8.19%	15.14%	46.7x	6.24x
Roper Technologies	9.24%	28.05%	16.9x	5.19x
Guidewire Software	22.70%	10.16%	98.3x	9.28x
Workday	13.35%	10.67%	37.4x	4.60x

Guidance

Management issued fiscal 2026 guidance with the third quarter results on October 28, 2026, and that guidance anchors our entire forecast under the house rule, so we state it exactly.

Fiscal 2026 guidance, issued October 28, 2026	Range
Revenue	$2,535M to $2,565M
Non-GAAP diluted earnings per share	$12.95 to $13.20
Free cash flow margin, company definition	26% to 28%
Research and development expense	$245M to $250M
Capital expenditure, including $5M capitalized software	$20M to $22M
Net interest income	$15M to $17M
Revenue midpoint, our Base fiscal 2026 anchor	$2,550M

Two features of that guidance deserve attention. The first is what it implies for the fourth quarter: reported nine month revenue of $1,906.165 million against the guided range implies fourth quarter revenue of $628.8 million to $658.8 million, a sequential step down from the third quarter's $647.566 million at the low end and a modest step up at the high end, which is a normal seasonal shape for Tyler and not a warning sign. The second is the free cash flow margin guide of 26 to 28 percent, which is stated on the company's definition and therefore adds

stock-based compensation back. Our model's free cash flow margins of about 20 to 23 percent are not in conflict with that guide; they are the same cash flows measured on a GAAP cost basis, and the roughly six point gap is the stock-based compensation share of revenue.

Risks and strengths

The bear case in risk form

Terminal value concentration is the first risk, because 83.8 percent of Base enterprise value sits in the terminal value, so a 100 basis point rise in the discount rate cuts Base to $335.94 and terminal growth of 2.0 percent instead of 3.0 percent cuts it to $346.47. The margin path is the second risk, because the Base case requires GAAP operating margin to expand from 15.34 percent in fiscal 2025 to 22.0 percent by fiscal 2031, and at a flat fiscal 2025 terminal margin Base falls to $335.60; the expansion depends on stock-based compensation and amortization shrinking as revenue shares while the non-GAAP margin holds, and either leg can disappoint. Public sector budgets are the third risk, because Tyler's clients fund purchases from tax receipts, and a state and local fiscal squeeze would slow new deals and conversions even though the recurring base would hold. Transaction revenue is the fourth risk, because payments and transaction volumes are cyclical inside an otherwise recurring model, and the Texas payments wind-down that held third quarter transaction growth to 9.5 percent shows how a single state programme can move a reported line. Acquisition pace is the fifth risk, because Tyler spent $239.030 million on acquisitions in the first nine months of 2026, including CODY Systems in July, and each deal adds intangible amortization and integration work that the GAAP margin must absorb.

The strengths

The recurring base is the clearest strength, with subscriptions and maintenance at 87.8 percent of revenue, annual recurring revenue of $2.28 billion growing 11.0 percent, and deferred revenue of $864.255 million collected ahead of delivery, which together make forward revenue more contracted than at almost any software company we cover. The funding structure is the second strength, because negative operating working capital of $464.692 million means growth releases cash rather than consuming it, a structural advantage that compounds with scale. The balance sheet is the third strength, with one debt instrument, bridge net debt of $530.716 million against trailing earnings power well above it, and no maturity before 2031 after the 2026 notes were repaid. Capital return is the fourth strength, with about 8.5 percent of the share base repurchased year to date and $1.37 billion of authorization remaining, which supports per share compounding even in our Bear case. None of those strengths is the reason for the Buy on its own. The Buy rests on the price assuming less than all of them.

What we monitor

- We watch the fiscal 2026 print, expected in February 2027 on the company's usual reporting calendar, for revenue against the guided range of $2,535 million to $2,565 million and for the first fiscal 2027 guidance, which will re-anchor this model under the house rule.
- We watch the diluted share count and the buyback pace each quarter, because repurchases of about $379 million a quarter move both the cash balance and the divisor, and our bridge re-anchors from each filing.
- We watch software as a service growth against the third quarter rate of 21.2 percent and recurring revenue growth against 11.0 percent, since convergence of total growth toward the recurring rate is the Bull mechanism and divergence is the Bear mechanism.
- We watch GAAP operating margin against the path from 18.07 percent in the third quarter toward our Base trajectory, and stock-based compensation as a share of revenue against 6.30 percent, since the margin thesis is a convergence thesis.
- We watch transaction revenue for further state programme wind-downs of the Texas kind, and acquisition spending against the $239.030 million spent in the first nine months of 2026.

> Our read is that Tyler is a durable, contracted, cash generative business priced for a slowdown it has not shown. We initiate with a Buy rating, a Base target of $422.79 and a blended target of $413.79 against a reference price of $373.93, and we will re-anchor the model on fiscal 2027 guidance when it is issued.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

Disclosures and live target notice

Targets in this note are computed model outputs as of the stated market legs and the October 29, 2026 close, and they will move with live inputs. The audited read-back for this note was October 30, 2026, with the S and P 500 at 7,720.39, the 10 year yield at 4.989 percent and the implied equity risk premium at 3.697 percent, and the reference price is frozen at the Thursday October 29, 2026 close of $373.93. Later market moves in the live legs will move the targets by cents in either direction, and a later close will move the reference price itself, so readers should treat $328.26, $422.79, $481.32 and $413.79 as outputs at a stated moment rather than as fixed price objectives. Our rating is Buy, and every rating display in this note reads Buy, because the Base target sits 13.1 percent above the reference price while the business improves on the filed record.

This document is for institutional clients only and does not constitute investment advice. Past performance does not guarantee future results. Cascadia Analytics may hold positions in the securities mentioned. Figures in this note are drawn from the Form 10-Q for the period ended

September 30, 2026, the third quarter 2026 earnings release of October 28, 2026, the fiscal 2025 Form 10-K, and the audited discounted cash flow workbook described in this note, with peer figures from Finnhub trailing data at October 30, 2026 and market size figures from Gartner's government and education information technology spending forecast published in November 2025. A research document provided to us at initiation contained a rating and price targets of its own; none of its figures is used in this note, and several of its claims could not be verified against the filing and are listed as unverified in our internal verification record. The fiscal 2026 reporting date in February 2027 is our expectation from the company's usual calendar, not a company confirmed date.